

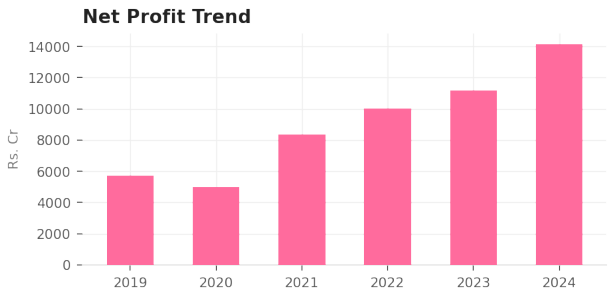
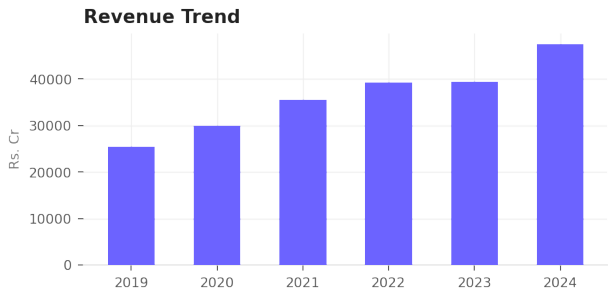
REC Ltd

RECLTD | Financials - Speciality Finance | Large Cap

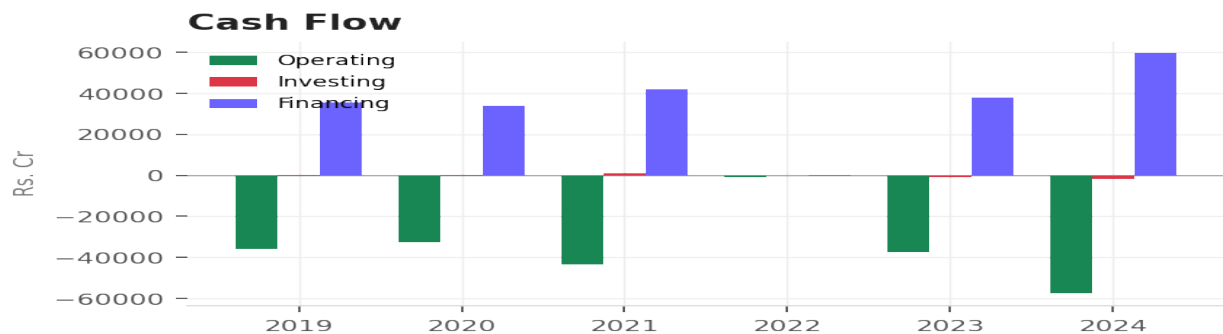
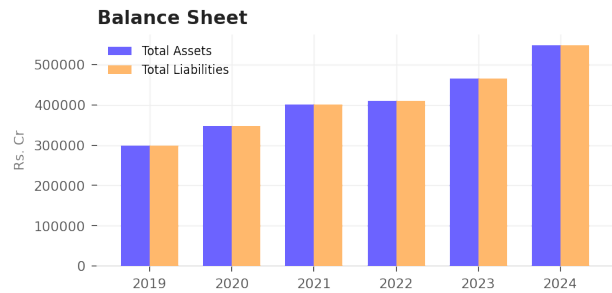
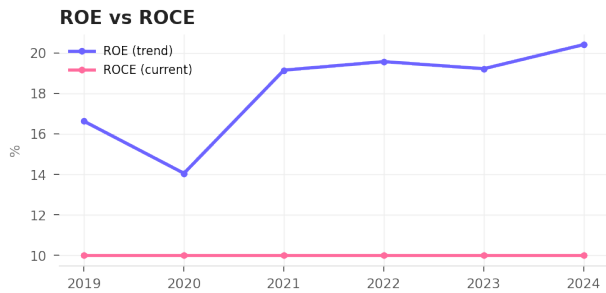
20.4%	10.0%	6.42x	31.5x	2.2%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



REC Ltd - Financial Trends



Pros

- + Company maintains a strong operating margin of 100.8%. (98% confidence)
- + Company has a strong return on equity of 20.4%. (68% confidence)
- + Company has been maintaining a healthy dividend payout of 30.0%. (65% confidence)

Cons

- Company carries a high debt-to-equity ratio of 6.42. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -3.88x), an accrual risk. (98% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)
- Company has a low interest coverage ratio of 1.60x. (68% confidence)